

Methodological Framework for Cryptographic Asset Screening under AAOIFI Standards No. 21, 30, and 59

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Abstract: This paper establishes an objective, four-tier qualitative and quantitative screening protocol for digital cryptographic tokens in compliance with Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) Shariah Standards No. 21 (Financial Papers), No. 30 (Investment Sukuk), and No. 59 (Financial Engineering). Analyzing an initial universe of 820 digital assets, the methodology isolates non-permissible interest mechanisms (Riba), excessive ambiguity (Gharar), and speculative gaming mechanics (Maisir), classifying assets into a binary ledger of 500 Shariah-permissible (Halal) and 320 prohibited (Haram) assets.

1. Jurisprudential Foundations: Mal Mutaqawwim & Utility

In classical Islamic jurisprudence (Fiqh al-Muamalat), a digital token qualifies as recognizable wealth (Mal Mutaqawwim) if and only if it represents lawful economic utility (Manfa'ah Mubahah) and constructive value recognized by prevailing customary practice (Urf). Cryptographic tokens secured via decentralized consensus (e.g. Proof-of-Work or validated Proof-of-Stake) possess intrinsic economic expenditure (computational cost and cryptographic capital commitment).

2. The 4-Tier AAOIFI Screening Protocol

Tier	Screening Dimension	AAOIFI Standard	Compliance Threshold
Tier 1	Business & Utility Screen	Standard No. 21 (Rule 3/1/1)	Zero involvement in gambling, adult content, or interest arbitrage
Tier 2	DeFi & Debt Screening	Standard No. 59	Strictly 0% protocol revenue from uncollateralized lending or debt-yield
Tier 3	Smart Contract Gharar	Standard No. 30	Deterministic emission, transparent token lockups, non-predatory minting
Tier 4	Financial Ratio Assessment	Standard No. 21 (Rule 3/1/2)	Total interest-bearing debt < 30% of trailing market capitalization

3. Constructive Possession (Qabd Hukmi) & Spot Markets

Under Islamic currency exchange rules (Bay al-Sarf), transactions must settle with instantaneous constructive possession. Derivative instruments (Perpetuals, Options, Margin debt) are invalidated due to the absence of underlying asset transfer. Spot trading and self-custodial UTXO ownership fully satisfy the criterion of immediate legal possession (Qabd Hukmi).

4. Conclusion & Data Availability

The complete open-access machine-readable dataset covering 820 digital assets is published under the MIT license and indexed permanently in the CERN / OpenAIRE research repository at <https://doi.org/10.5281/zenodo.23021995>.